

Lesson 5 - Stock Planning

Stock planning is the process of deciding how much inventory is needed to support planned sales without creating unnecessary excess.

Basic stock flow:

Opening Stock + Receipts - Sales = Closing Stock

Key measures:

Opening Stock - inventory available at the start of the period.

Receipts / Intake - inventory expected to arrive during the period.

Closing Stock - inventory remaining after sales and receipts.

ROS - Rate of Sale, or units sold per week.

WOS - Weeks of Supply = Closing Stock / Weekly Sales.

Sell-through % = Sales / (Opening Stock + Receipts) x 100.

Stock-to-sales compares inventory with sales for a period.

Replenishment adds inventory when demand continues and stock approaches target cover.

Illustrative example:

20,000 opening + 15,000 receipts - 12,000 sales = 23,000 closing units.

Practical exercise:

Plan 26 weeks of stock. Enter opening stock, receipts and sales.

Review closing stock, ROS, WOS and sell-through.

Identify weeks where stock cover is too low or too high.

Key takeaway:

Stock planning connects sales, receipts and inventory so the business can support demand while controlling excess stock.